

Claim Scenario Workbook — Extended Worked Examples

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This workbook extends the Claims Adjudication Training Scenarios with additional worked examples covering less common but recurring fact patterns. Each entry follows the same five-step sequence as the Claims Adjudication Guidelines.

Scenario W1 — Partial Theft, No Vehicle Damage

A policyholder reports the theft of a custom stereo system, with no other damage to the vehicle. **Step 1:** confirm governing form version from the date of loss. **Step 2:** confirm Comprehensive coverage is selected; theft of vehicle contents (not equipment covered by a separate endorsement) is not itself a covered Part D loss unless the item is a permanently installed part of the vehicle — a stereo system professionally installed and wired into the vehicle qualifies; a portable device left in the vehicle does not. **Step 3:** check whether a Custom Equipment Endorsement is attached, which would set a separate limit distinct from the base Comprehensive coverage. **Step 4:** compute payout against whichever limit applies. **Step 5:** draft recommendation citing the specific coverage basis (base Comprehensive vs. endorsement) used.

Scenario W2 — Weather Event Damage, No CAT Declaration

A policyholder reports hail damage from a storm that Meridian Mutual has not declared a CAT event. **Walkthrough:** the claim is adjudicated under the standard sequence and standard timelines — the Catastrophe Claims Surge Protocol's modified timelines and triage rules apply only once an event is formally declared. A trainee should not assume a weather event automatically qualifies for CAT handling.

Scenario W3 — Vehicle Sold Mid-Term, Claim Filed After Sale

A claim is reported for a loss that occurred after the named insured sold the vehicle described on the Declarations page, and before any newly acquired vehicle was reported. **Walkthrough:** coverage for the sold vehicle ends at the point of sale; a loss to a vehicle the named insured no longer owns is not covered under this policy regardless of the Declarations page still listing it, unless the loss occurred before the sale was completed. This is a fact-intensive determination that belongs in Step 2 (coverage evaluation), not an assumption either way.

Scenario W4 — Loss During a Grace-Period Newly Acquired Vehicle

A policyholder purchases a new vehicle and has an accident four days later, before formally adding the vehicle to the policy. **Walkthrough:** Policy Wording Section 1's definition of "your covered auto" extends limited coverage to a newly acquired vehicle for a grace period; confirm the loss occurred within that period and that the newly acquired vehicle otherwise qualifies (same coverage the policyholder carried on their prior vehicle typically extends automatically during the grace period). This is not a coverage gap by default — a trainee should not assume denial just because the vehicle wasn't yet on the Declarations page.

Scenario W5 — Excluded Driver at the Wheel

A covered auto is involved in a collision while operated by a person listed on a Named Driver Exclusion Endorsement attached to the policy. **Walkthrough:** per Policy Wording Section 11.5, no coverage of any kind applies for that person's operation of any vehicle, including the covered auto. This is a hard exclusion, not one requiring the same "flag for more information" treatment as the ambiguous ride-share scenario — the excluded driver's identity is a fact to confirm, not a judgment call once confirmed.

Scenario W6 — Rental Vehicle Used as Temporary Substitute

A policyholder's covered auto is in the shop for a covered repair, and they are driving a rental car when a second, unrelated accident occurs. **Walkthrough:** Policy Wording Section 1 extends "your covered auto" to include a temporary substitute vehicle. The rental car accident is adjudicated under the same policy and coverage parts as if it had occurred in the covered auto itself, subject to Section 12.9's interaction with any rental company's own coverage (other-insurance provisions in Section 8.3 apply if the rental company also provides coverage).

Scenario W7 — Claim Involves a Household Member Not Listed as a Driver

An accident occurs while the vehicle is driven by an adult child living in the household who was never specifically added as a driver, and is not excluded.

Walkthrough: Policy Wording Section 2.3 extends Liability Coverage to "any resident relative" using the covered auto — a resident relative does not need to be individually listed to be covered under Part A, unless specifically excluded by endorsement. Part D coverage for damage to the covered auto itself follows the same logic under the general "any person using your covered auto with your permission" language.

Scenario W8 — Disputed Repair Estimate Amount

A policyholder disputes the repair estimate amount used in the payout computation, believing their preferred shop's higher estimate should control.

Walkthrough: this is not a coverage dispute — the coverage, limit, and deductible are not in question. It is a dispute about the amount of loss, which is exactly what the appraisal process in Policy Wording Section 8.2 exists to resolve. A trainee should route this to appraisal, not attempt to split the difference informally.

Scenario W9 — Claim Filed Well After the Loss

A policyholder reports a Comprehensive loss (a cracked windshield) six weeks after it occurred, with no explanation for the delay. **Walkthrough:** a late-reported claim is not automatically denied — Part E's duty to "promptly" notify is a condition, and unreasonable delay that prejudices the investigation (for example, making it impossible to confirm the damage wasn't pre-existing) is the relevant standard, not the delay by itself. A trainee should evaluate whether the delay actually impaired investigation, not deny reflexively for lateness.

Scenario W10 — Endorsement Effective Date After the Loss

A policyholder claims a benefit under the Rental Reimbursement Increase Endorsement (END-RR-01), but the endorsement's effective date on the Declarations page is after the date of loss. **Walkthrough:** the endorsement was not in effect at the time of loss, so the standard \$30/\$45-per-day limit (per the governing Policy Wording version) applies instead, not the endorsement's increased limit. Endorsement effective dates matter exactly like Policy Form versions do — always check against the date of loss.

Scenario W11 — Loss Payee Interest Disputed by Policyholder

A total-loss settlement is due to be split between the policyholder and a lienholder as loss payee, but the policyholder disputes that the lien is still outstanding.

Walkthrough: this is a documentation question, not a coverage question — request current payoff confirmation from the lienholder before finalizing the split. It is not the adjuster's role to resolve a dispute between the policyholder and their lender about loan balance; the loss-payee provision (Policy Wording Section 8.5/12.6) is applied based on the lien as it currently stands on record.

Scenario W12 — Multiple Coverage Parts Triggered by One Accident

A single at-fault accident causes property damage to another driver's vehicle (Liability), injury to the insured requiring medical treatment (Medical Payments), and damage to the insured's own vehicle (Collision). **Walkthrough:** all three coverage parts are evaluated and computed independently, each against its own limit and (where applicable) deductible — Liability's Property Damage limit, Med-Pay's per-person limit, and Collision's deductible are three separate computations under Step 4, not blended into a single figure.

Scenario W13 — SIU Referral That Clears

A claim is referred to SIU because it was reported nine days after policy inception (Fraud Indicators Guide, Section 2.1), but investigation confirms the policyholder was out of the country and reported the claim the day they returned.

Walkthrough: the referral was appropriate given the indicator, and the outcome — clearing the claim with the timing explained and documented — is a normal, expected result. SIU referral is not itself a finding of wrongdoing, and the claim proceeds through standard adjudication once cleared.

Scenario W14 — Claim Under the Uninsured Motorist Property Damage Endorsement

A policyholder with the UMPD Endorsement (END-UMPD-01) is struck by an identified driver who has no insurance, causing \$2,900 in property damage to the covered auto, and the policyholder also carries Collision coverage with a \$500 deductible. **Walkthrough:** UMPD (up to \$3,500, \$250 deductible per the endorsement) and Collision (subject to Section 8.3's other-insurance-style coordination, since both could technically apply) should not both pay the full amount — compare the two payout paths and apply whichever coverage the

policyholder elects, consistent with the endorsement's own terms; do not pay both in full for the same damage.

Scenario W15 — New Vehicle Replacement Cost Endorsement, Second Model Year

A policyholder with the New Vehicle Replacement Cost Endorsement (END-NVR-01) totals a vehicle now in its second model year of ownership. **Walkthrough:** the endorsement applies only to a vehicle in its first model year of ownership per its own terms — a second-model-year vehicle's total loss is settled under the standard ACV-based Total Loss Valuation Methodology instead, not the endorsement's replacement-cost benefit. Reading an endorsement's own scope limitation correctly is as important as reading the base Policy Wording correctly.